Operations Strategies Case Study - Zara



Background and Introduction to Zara

The fast fashion chain Zara is one of the world's largest fashion clothing retailers. It is part of the Inditex Group, a group of more than 100 companies operating in textile design, manufacturing and distribution, with headquarters in La Coruña in northern Spain. The Inditex Group has more than 6,000 retail outlets in more than 400 cities across five continents and continues to grow rapidly. Zara contributes over 85% of the revenue that Inditex generates through its 1,770 stores across the globe. Most of the retail outlets are wholly owned by Inditex and, similar to H&M, franchising is only used where local regulations impede direct foreign ownership.

The group's success and its unique business model, based on innovation and flexibility, have made Inditex one of the biggest fashion retailers in the world. Its approach to fashion - creativity, quality design and rapid turnaround to adjust to changing market demands - has allowed us to expand internationally at a fast pace and has generated an excellent increase in net profit of 28% in 2015.

Zara is a counter intuitive case study in operations management because they utilise a supply chain model which is based upon a high degree of vertical integration which allows them to exercise more control since the majority of their manufacturing takes place in their own factories. This differs from other international fashion retailers such as Gap, Topshop, H&M and Mango where the supply chain strategy is not to own manufacturing but to deal with independent suppliers and to try and exercise economies of scale in production. Zara specialises in short term, short run, limited edition production based on current fashion trends.

Syllabus Relevance

The Zara case study is a useful operations strategies case study because it links nicely to several syllabus concepts. A summary of the links follows.

Zara has a competitive advantage over other fashion rivals occurs because of a unique ability to reduce lead times (the time it takes to go from the design stage to being available for purchase on retail shelves) well below that of rivals. Some key statistics that demonstrate their competitive advantage are as follows.

- ✓ The average time for a Zara concept to go from idea to appearance in store is 15 days vs. rivals who receive new styles once or twice a season. Zara is twelve times faster than Gap, despite offering roughly ten times more unique products. Contrast this with H&M, where it takes three to five months to go from creation to delivery. Other retailers need an average of six months to design a new collection and then another three months to manufacture it. VF Corp (Lee, Wrangler) can take 9 months just to design a pair of jeans, while J. Jill needs a year to go from concept to shelves. At Zara, most of the products you see in stores didn't exist three weeks earlier, not even as sketches.
- ✓ Zara restock their store twice every week unlike other retailers who purchase stock in two massive purchases per annum (summer and winter). This allows Zara to respond to fashion trends instantly while other competitors must predict trends up to 12 months in advance so that the stock is ready and in store.

Reduced lead times are achieved through the innovative new product development strategies, efficient supply chain management and logistics network and the use of established technology via e-commerce systems.

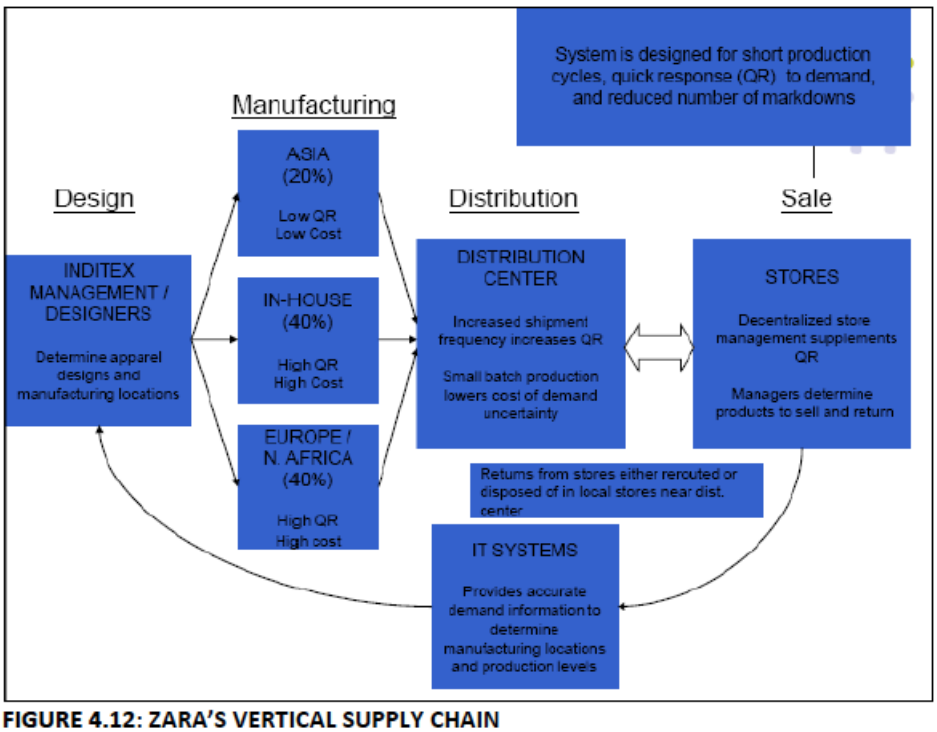


FIGURE 4.12: ZARA'S VERTICAL SUPPLY CHAIN

Operations Strategy - New product or service design and development

- Rather than create trends by pushing new lines via catwalk fashion shows, Zara prefers to follow with designs where there's evidence of customer demand. Data on what sells and what customers want to see goes directly to "The Cube" in La Coruña, where teams of some 300 designers produce an astonishing 30,000 new designs a year versus 2,000-4,000 items offered up at big chains like H&M and Gap.
- Zara designers do not attempt to create new fashions. They work to interpret the fashion trends that are already in the market. This is known as an '*imitation strategy*' which allows Zara to pounce on trends that are in demand, proven and guaranteed to be profitable rather than spend money promoting trends that may or may not ever take off. Designers scan and learn from global trends that are active right now by screening events and venues were fashion is evident (the street, in clubs, lifestyle hotspots and fashion "flash points", and not from a mood board or a trend prediction agency 12 months in advance of a selling season).
- While they employ a lot of designers they actually run a reasonably cheap design operation because they effectively mimic fashion trends that have been set by others and therefore do not spend any money innovating or driving a trend. Instead the simply respond to trends that have already been established by other rival firms.
- Because the designers are employed by Zara the firm enjoys a large amount of control and flexibility to respond immediately to new trends unlike other retailers who outsource these decisions to buying agents and fashion firms.

Operations Strategy - Supply chain management – logistics, e-commerce, global sourcing

- At its heart Zara supply chain strategy is the decision to operate the majority of its production and distribution internally (vertical integration) which gives them total control of all business activities from designing, manufacturing, sourcing, distribution to retail stores. It enables company to short turnaround times and achieves greater flexibility, reducing stock to a minimum and diminishing fashion risk to the greatest possible extent. For Zara stores to be able to offer cutting edge fashion at affordable prices requires the firm to exert a strong influence over almost the entire garment supply chain: design, purchasing, production, distribution, and retailing. Zara aims to reduce lead times because this means that the clothes should be more 'on trend' and fashionable at that moment in addition they aim for lower quantities (scare supply means higher prices) and lastly more styles (more choice means more change of a customer liking what they see).
- Evidence of the efficiency of the supply chain is demonstrated by the fact that rival firms industry average "pre-season inventory commitment" - the level of production and procurement in the supply chain ranges from 45% to 60% of anticipated sales. At Zara it is only 15% to 20%. The "in-season commitments" at Zara are 40% to 50% whereas the industry average ranges from almost nothing to a maximum of 20%. The Zara supply chain reacts

faster by working with more precise forecasts and more reliable market information. Most fashion retailers place orders for a seasonal collection months before these lines make an appearance in stores. While overseas contract manufacturers may require hefty lead-times (up to 12 months) and trying to guess what customers want months in advance is a tricky business. This gives Zara a massive advantage over rivals because they start production much later in the season when fashion trends are known and the volume of production is not an issue because they can produce garments within 15 working days and have them delivered to stores twice per week. Therefore they rarely under or over supply any items for sale.

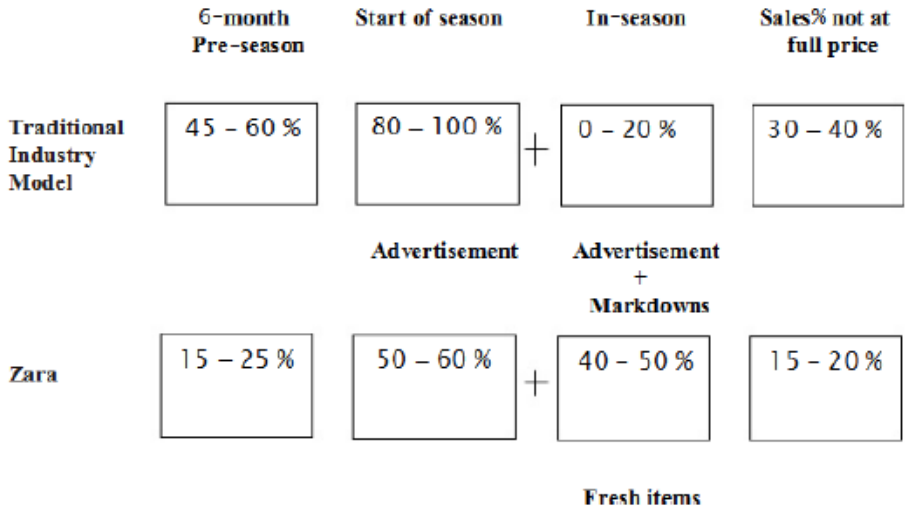


FIGURE 4.8 PRODUCTION COMMITMENT AND MARKDOWN

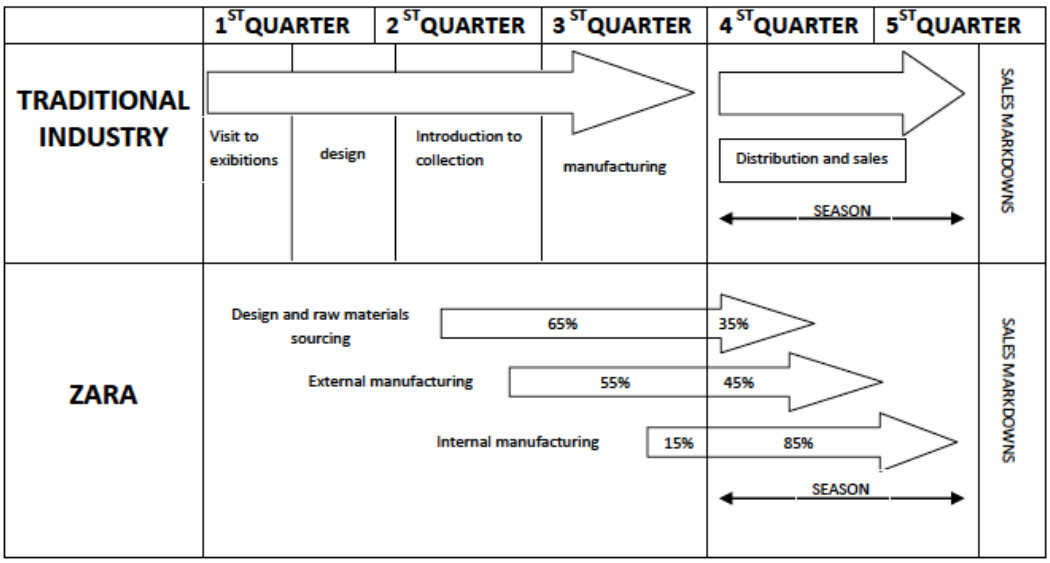


FIGURE 4.9: PRODUCT PRECOMMITMENTS:ZARA VS. TRADITIONAL INDUSTRY

- The graphs above show the competitive advantage that the short lead times and efficient supply chain give Zara in terms of being able to sit back and execute most production during the actual season when trends are known. In

an industry that traditionally allows retailers to change a maximum of 20% of their orders once the season has started, Zara lets them adjust 40% to 50%. In this way, Zara avoids costly overproduction and the subsequent sales and discounting prevalent in the industry.

- Inditex CEO Jose Castellano summarises the Zara mindset. “This business is all about reducing response time. In fashion, stock is like food. It goes bad quick”.
- *Logistics*: All products pass through Zara’s major distribution center in La Coruña. This 5-storey, 50,000 m2 distribution centre employs some of the most sophisticated and up-to-date automated systems: many developed by Zara/Inditex staff with the support of a Danish supplier. With a workforce of 1200, the distribution center normally operates four days per week with the precise number of shifts depending on the volume of products that have to be distributed. Orders for each store are packed into separate boxes and racks (for hanging items) and are typically ready for shipment 8 hours after they have been received. In 2014, the distribution center shipped 130 million pieces - i.e. about 400,000 pieces in a typical day. 75% of these shipments were to stores in Europe. Around 300,000 new items (SKUs or “stock keeping units”) are introduced every year (the 10,000 new product designs in typically five to six colors and five to seven sizes).
- Typically, stores in Europe receive their orders in 24 hours, the United States in 48 hours and Japan in 48 to 72 hours. Speed is clearly an overriding concern; as one of the senior managers put it: “For us, distance is not measured in kilometres, but in time.” Compared to similar companies in the industry, shipments at Zara are almost flawless - 98.9% accurate with less than 0.5% shrinkage.
- In the distribution center, products are inspected and immediately shipped, since. Lorena Alba, Inditex’s director of logistics, regarded the warehouse as a place to move merchandise rather than to store it. According to her, “the vast majority of clothes are in here only a few hours”, and none ever stayed at the distribution center for more than three days.

So how does Zara manage to produce and deliver stock so much faster than their rivals? It all comes down to a combination of their decision to only outsource certain aspects of their production and also their world leading use of e-commerce technology in their supply chain and the way they conduct their inventory management.

Operations Strategy - Outsourcing – Advantages and disadvantages

- While rival firm H&M has 900 suppliers and no factories, 40% of Zara’s merchandise is produced in-house. The Zara advantage comes from the fact that it has made a strategic decision to outsource only some aspects of their production but maintain heavy control over the most important aspects which are vital for driving speed to market.The combination of outsourcing some aspects but remaining majorly vertically integrated gives them flexibility to respond to latest trends. Zara makes 40% of its own fabric and purchases most of its dyes from its own subsidiary. While it does give the company flexibility and control over production it is estimated that the

labour cost of this strategy is around 20 times more expensive than producing out of Asia.

- While Zara maintains control and ownership over the capital-intensive machinery aspects of production (cutting and dyeing) it chooses to outsource the labour intensive aspects of garment production such as stitching and threading to eastern European countries with cheap labour rates but still in close proximity to Spain. The aim here is to reduce wages associated with production but not sacrifice proximity to their Spanish distribution centre.
- The firm does leverage outsourced manufacturers (mostly in Turkey and Asia) to produce staple items with longer shelf lives, such as t-shirts and jeans, but this volume accounts for only about 1/8th of dollar volume. These geographically distant independent manufacturers tend to be used for more basic merchandise that has a longer product life and where demand is not as volatile as the more fashionable merchandise.
- On the other hand the high-end trendy Zara labels like Zara RTF, mainly consisting of up-to-date fashion outfits are produced in Portugal and Spain, meaning higher production cost and shorter lead times, but helping fast reaction on demand.

How Zara creates a competitive advantage through stock rotation

Operations Strategy - Inventory Management – Advantages and disadvantages of holding stock

- Each of the 6,000+ Inditex stores receives at least two deliveries of new merchandise every week. Regular customers shopping in Zara understand that if they see something they like they will need to buy it immediately because it is unlikely that there will be any repeat deliveries (production) of exactly the same garment.
- "When you went to Gucci or Chanel in October, you knew the chances were good that clothes would still be there in February," the CEO says. "With Zara, you know that if you don't buy it, right then and there, within 11 days the entire stock will change. You buy it now or never. And because of this fact end up buying right now and full price".

How Zara use Just In Time (JIT):

- Only one third of actual forecasted required production is produced ahead of the season, with the remaining two thirds produced during the season based on in-season style trends. Production is, in fact, based upon JIT principles. A substantial amount of the fabric used in Zara's own factories is left undyed to be coloured as late as possible in the garment production cycle so that a more accurate reaction to specific local demand can be achieved.
- At retail level, as part of this fashionably exclusive image, stores hold very low levels of inventory – typically only a few pieces of each model – and this often means that a store's entire stock is on display. As a result of the low inventory policy it is not unusual to find empty racks by the end of a day's trading and therefore stores are completely reliant on regular and rapid replenishment of newly designed products

- Why does limited run JIT clothing work for Zara?
    - First, limited runs allow the firm to cultivate the exclusivity of its offerings. While a Gap in L.A. carries nearly the same product line as one in Milwaukee, *each Zara store is stocked with items tailored to the tastes of its local clientele.*
    - Second, limited runs encourage customers to buy right away and at full price. A study by consulting firm Bain & Co. estimated that the *industry average markdown ratio is approximately 50%, while Zara books some 85% of its products at full price.* The constant parade of new, limited-run items also encourages customers to visit often. The average *Zara customer visits the store 17 times per year, compared with only three annual visits made to competitors.*
    - Finally, limited production runs allows the firm to, as Zara's CEO once put it "reduce to a minimum the risk of making a mistake, and we do make mistakes with our collections". *Failure rates of the chain's product line are reported to be just 1 percent, compared with the industry average of 10 percent.*
- The relentless introduction of new products in small quantities, ironically, reduces the usual costs associated with running out of any particular item. Indeed, Zara makes a virtue of being out of stock! Empty racks don't drive customers to other stores because shoppers always have new things to choose from. Being out of stock in one item helps sell another, since people are often happy to snatch what they can. In fact, Zara has an informal policy of moving unsold items after two or three weeks. This can be an expensive practice for a typical store, but since Zara stores receive small shipments and carry little inventory, the risks are small; *unsold items account for less than 10 percent of stock, compared with the industry average of 17 percent to 20 percent*.

The foundation of a successful JIT inventory management system is a sophisticated e-commerce ordering platform

Operations Strategy – Technology
– Leading Edge, Established

- E-commerce: Information travels from the stores to the designers, transmitting the demand and concerns of the customers. Zara's shops use Information Technology to report directly to its production centers and designers in Spain. Shop managers use PDAs to check on the latest clothes designs and place their orders in accordance with the demand they observe in their stores. Thus, they directly contribute to a streamlined fashion collection of the entire company. The designers at Headquarters collect and evaluate these suggestions and they arrive, produce designs on their computers, and, when finalized, send them over the company intranet to a factory. The result is that Zara designs and produces as many as 10,000 new items every year. In an industry that traditionally allows retailers to change a maximum of 20% of their orders once the season has started, Zara lets them adjust 40% to 50%. In this way, Zara avoids costly overproduction and the subsequent sales and discounting prevalent in the industry.
- The cash register is not the end of the process but rather its restart, as the stores accounting software and inventory management system are fully

integrated and send data live back to Spain. The cash registers act as market information gathering terminals, providing feedback to the design teams and reporting the trends demanded by customers for specific stores. Designers check the database for these dispatches as well as daily sales numbers, using the information to create new lines and modify existing ones thus, designers have access to real-time information when deciding with the commercial team on the fabric, cut, and price points of a new garment.

- Store managers communicate directly with the Zara distribution facility-ordering store as they require. Optical reading devices sort out and distribute more than 60,000 items of clothing an hour. Sales and replenishment reports are examined hourly by the Zara's store managers and, uniquely, store managers order items themselves instead of relying on what has being sent from the headquarters. *The accuracy of their forecasting affects their compensation, which makes them more responsible.*

